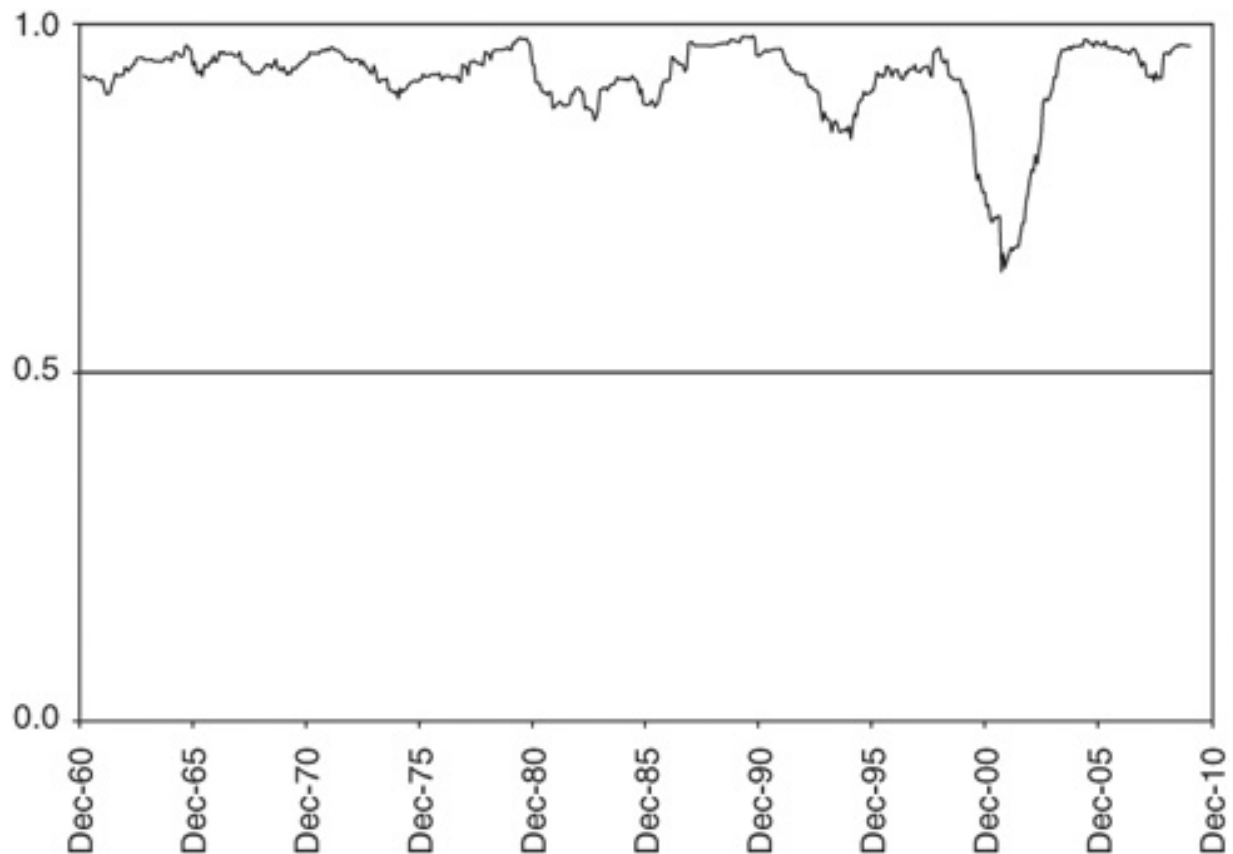




[Figure 6-6](#) is an interesting 30-year risk-and-return chart that combines the Russell 3000 Index with the Russell 3000 Value Index and the Russell 3000 Growth Index over 30 years. At the top left of the chart is the Russell 3000 Value risk and return and at the bottom right is the Russell 3000 Growth risk and return. In the center is the Russell 3000. Starting with the Russell 3000, each subsequent point on the chart adds a 10 percent position up or down in the Russell Value and Growth indexes. The hypothetical portfolios were rebalanced annually.

Since 1979, the Russell 3000 Value Index has outperformed the Russell 3000 Growth Index by over 2 percent, and it did so with about 5 percent less risk! Based on this knowledge, why would anyone invest in growth stocks? Because growth stocks are perceived to have less total risk in their earnings growth, and less risk means less return.

FIGURE 6-6

Risk and Return Characteristics of Russell 3000 Indexes, 1979–2009